

THE LONG PAYCHECK WORKBOOK

Will your money last as long as you do?

62 ————— 95

Five checks on your own numbers: what your savings pay, when to claim Social Security, what Medicare takes first, how long the money lasts, and one bad health year. Have your latest savings balance, your Social Security statement (ssa.gov/myaccount) and a rough monthly budget handy.

Type straight into the white boxes. In Adobe Acrobat or Reader, the gold boxes fill in by themselves. The interactive version with charts is at longpaycheck.com/workbook.

Your starting point

Three numbers. Everything in this workbook is worked from them.

YOUR AGE TODAY

62

RETIREMENT SAVINGS (\$)

500000

MONTHLY SPENDING (\$)

4000

Savings: 401(k), IRA, brokerage, savings, not your home. Spending: everything except Medicare premiums, in today's dollars.

Your headline numbers (fill in as you go)

SAVINGS PAY A MONTH

\$1,667 /mo

SOCIAL SECURITY AT CLAIM

\$2,071 /mo

MONEY LASTS TO AGE

about 79

WHAT IT PAYS, AND WHEN TO CLAIM

1 What your savings actually pay

A balance is not an income. The withdrawal rate is the share of savings you take out in the first year. Many planners use 3% to 4% as a cautious range for a thirty-year retirement. Before tax.

WITHDRAWAL RATE TO TEST (%)

4

SAVINGS PAY A MONTH

\$1,667 /mo

FIRST YEAR, BEFORE TAX

\$20,000

AT OTHER RATES, A MONTH:

3%

\$1,250

3.5%

\$1,458

4%

\$1,667

4.5%

\$1,875

5%

\$2,083

Worth checking: what share of your savings is in pre-tax accounts. Every pre-tax dollar you withdraw is taxed as income.

2 When you claim Social Security

Claiming at 62 cuts your check for life; waiting to 70 raises it for life. Find your benefit at full retirement age on your statement at ssa.gov/myaccount. The average retired worker collects about \$2,071 a month in 2026.

YEAR YOU WERE BORN

1964

BENEFIT AT FULL RET. AGE (\$)

2071

AGE YOU PLAN TO CLAIM (62-70)

67

YOUR FULL RETIREMENT AGE

67

YOUR CHECK AT THAT AGE

\$2,071 /mo

VERSUS FULL BENEFIT

+0% for life

IF YOU CLAIM AT 62

\$1,450

IF YOU CLAIM AT 70

\$2,568

70 BEATS 62 IF YOU LIVE PAST

about age 80

Rules used: claiming early cuts the benefit by 5/9 of 1% a month for the first 36 months and 5/12 of 1% after that; each month you wait past full retirement age adds 2/3 of 1%, up to age 70 (SSA). Married? The higher earner's claiming age also sets the survivor's check for life.

WHAT MEDICARE TAKES, AND WILL IT LAST

3

What Medicare takes first

From 65, the Part B premium comes out of your Social Security before it's deposited. It has grown faster than the raises: up about 67% from 2016 to 2026, while raises added about 35%.

PART B A MONTH (\$)

202.9

OTHER HEALTH PREMIUMS (\$/MO)

0

WHAT LANDS IN YOUR ACCOUNT

\$1,868

SHARE OF CHECK TO PART B

9.8% (1 in 10)

IN 20 YEARS, IF IT KEEPS UP

16.8% (1 in 6)

Income over \$109,000 single or \$218,000 joint (2026 thresholds, based on your tax return from two years earlier) adds a surcharge (IRMAA) to Part B and drug premiums. A one-time spike counts: a large withdrawal, a Roth conversion, a home sale.

4

Will it last?

Every year, your spending plus Medicare, minus Social Security, comes out of savings. Before you claim, savings cover all of it. This is the age the money runs out on your numbers, and on a more cautious return.

RETURN (%)

5

CAUTIOUS RET. (%)

4

INFLATION (%)

3

SS RAISES (%)

2.4

PART B GROWTH (%)

5.2

PLAN TO AGE

95

MONEY LASTS TO AGE

about 79

ON CAUTIOUS RETURN

about 78

FROM SAVINGS, YEAR 1

\$48,000 (9.6%)

What it means

The money runs out around 79, 16 years before 95. The levers: spending, claiming age and return. Cha

Assumptions: Social Security raises of 2.4% a year are the 2026 Trustees' long-run estimate; Part B growth of 5.2% a year is the 2016-2026 average. Small changes to spending, claiming age or return move the age by years. Try them.

ONE BAD YEAR, AND YOUR YEARLY RECORD

5

One bad health year

Every Medicare plan has a worst case, and it lands on your savings in a single year. For 2027, Medicare Advantage in-network costs can be capped at up to \$9,850, plus a \$2,400 drug cap: \$12,250 in one year. Find your plan's limit in its Summary of Benefits.

WORST-CASE YEAR (\$)

12250

SAY IT HAPPENS AT AGE

75

MONEY NOW LASTS TO

about 79

With Medicare Advantage the limit resets every January 1, so a bad November and a bad February count as two years. Open enrollment runs October 15 to December 7: compare the maximum out-of-pocket, not just the premium.

Your December record

Every December, your notice from Social Security (or your my Social Security message center) shows three numbers. Write them here every year. In five years you'll see your own drift, in your own handwriting.

YEAR	NEW MONTHLY BENEFIT	MEDICARE DEDUCTION	DEPOSIT	DEDUCTION SHARE
2026				
2027				
2028				
2029				
2030				
2031				

Notes and questions for a fee-only fiduciary or CPA